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Q: What are the risks in lending to retail borrowers with a new set of lending emerging—such as microfinance, consumer durables and buy now, pay later, among others?

A: Retail [lending] is difficult. It doesn't have the big default risk of corporate loans—you get lots of little defaults. And based on data from 2008 of lots of mortgage lending in countries around the world, there is substantial risk of getting households having too much debt. And if households have too much debt and then things [in the economy go south], then households have to cut their spending, and you get waves of defaults. Household debt very much depends on economy-wide risks. If you're going to go into a big recession, you're going to see lots of household defaults. And then the thing we learnt—there's lots of evidence which Professors Amir Sufi, Atif Mian and my colleagues have shown—that when you get to that stage, and households [that don't default] start to cut

back [expenses] to pay their loans, that can make the recession much worse.

In terms of thinking about macro-prudential regulation of banks, you have to make sure they are not overextending. I think the thing we've learnt the most from the 2008 period is that household leverage and household debt is just [as], if not more, dangerous than excessively leveraged firms.

Q: Is there risk from the higher interest rate cycle, especially for household debt?

A: People like to say that banks make floating rate loans so they're hedged. But if you raise the interest rate above what the borrower can pay, you turn interest rate risk into default risk for household debt, [and] that's a problem because lots of households borrow for consumption purposes. When you borrow for consumption purposes, you don't have any collateral to sell if the interest rate goes up. So there's a limit to how much you can raise the interest rate on household debt. I'm hoping that the supervisors and regulators in India have carefully looked at what the household debt cycle of the previous crisis in the world [was]. India was protected from that because household debt was less of a thing in the country in 2007. Now that it is a thing, too much household leverage is much more likely to cause a big recession than too much corporate leverage, particularly as long as the bankruptcy system works. You can deal with corporate leverage; [but with] household leverage, not so much because there are no assets to seize. And if people stop spending because they have to pay their debts, the economy collapses.

Q: India set up a separate institutional framework by having a bad bank to deal with stressed assets. Do you think this is the way to deal with stress in the banking system?

A: The bad bank system doesn't really get rid of the problem; it just makes it transparent where the problem is, so it doesn't pollute the balance sheets of the good bank. I think good bank-bad bank is an effective way to deal with the problem. It's not really a solution... it's more like mitigation. But the world's experience seems to be that good bank-bad bank is much better than just bailing out the banks. If you don't have good bank-bad bank, all your banks are bad. The good thing about good bank-bad bank is you can isolate the problem. [But] you still have to resolve the problem. It's still going to be very difficult to recover much for the bank, but it is a step in the right direction. **BT**

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This interview took place before India reported a CPI inflation print of 5.88 per cent in November 2022